Report Number : ICRR14569

IEG **ICR Review**
Independent Evaluation Group

1. Project Data :		**Date Posted :**	02/02/2015	
Country :	Comoros			
	Is this Review for a Programmatic Series?			○ Yes ● No
Series ID :				
First Project ID :	P122941		**Appraisal**	**Actual**
Project Name :	Comoros Development Policy Grant 2	**Project Costs (US$M):**	$5.0	$4.7
L/C Number:		**Loan/Credit (US$M):**	$5.0	$4.7
Sector Board :	Poverty Reduction	**Cofinancing (US$M):**		
Cofinanciers :		**Board Approval Date :**		11/29/2012
		Closing Date :	11/30/2013	11/30/2013
Sector(s):	Central government administration (100%)			
Theme(s):	Public expenditure; financial management and procurement (70%); Administrative and civil service reform (20%); Other economic management (10%)			
Evaluator :	**Panel Reviewer :**	**ICR Review Coordinator :**	**Group :**	
Aghassi Mkrtchyan	Michael R. Lav	Lourdes N. Pagaran	IEGPS2	

2. Project Objectives and Components:

a. Objectives:

The Economic Reform Development Policy Grant's objective was to strengthen state transparency and accountability (Program Document (PD), page iii, "Grant and Program Summary"). In addition, the Policy Matrix lists eight sub-objectives: a) improving budget planning process; b) enhancing budget transparency; c) improving government's cash balance; d) enhancing transparency in human resource and wage bill management; e) enhancing the legal framework for anti-corruption; f) enhancing transparency in access to fishery resources; g) ensuring reliable energy availability to vulnerable social-economic groups; h) establish a National Platform of Disaster Risk Management (DRM). The PD groups these sub-objectives in six policy areas: i) improving public financial management (incorporates first three sub-objectives); ii) improving public sector efficiency and accountability; iii) strengthening governance and anti-corruption; iv) strengthening economic governance of the fisheries sector; v) ensuring reliable energy availability; vi) improving coordination of government bodies involved in disaster risk prevention and management. The Financing Agreement does not contain a statement of objectives.

For the purpose of this ICR review, IEG uses the overall objective set out in the Program Document (strengthening state transparency and accountability), and assesses relevance and efficacy in relation to the six policy areas.

Note: This review benefited from additional information that was not presented in the ICR received from Macroeconomics and Fiscal Management Global Practice as part of comments on the initial IEG draft review.

b. If this is a single DPL operation (not part of a series), were the project objectives/ key associated outcome targets revised during implementation?

No

c. Policy Areas:

(i) Improving public financial management : The focus in this policy area was on improving budget planning processes, enhancing budget transparency, and improving government 's cash balance. There were three prior actions: a) approve the Bill on Public Financial Management; b) publish quarterly budget execution reports on a public website or in a national newspaper for at least two quarters that includes information on social sector spending; and c) adopt a decree that creates a Directorate of Public Accounts and Treasury (DGCPT) and the appointment of the General Director and the General Paymaster of the Union Government within the Ministry of Finance to consolidate the accounting functions and treasury management .

(ii) Improving public sector efficiency and accountability : This aimed at enhancing transparency in the human resource and wage bill. The prior action was to prepare and disclose on a public website or in a newspaper of national coverage at least one bi-monthly report covering the period from July to August 2012 on recruitments by ministry and commissariat, and by gender.

(iii) Strengthening Governance and Anti -corruption: The operation supported borrower's efforts to enhance the legal framework for anti-corruption. There was one prior action - Government decree requiring key public officials to submit an annual asset declaration under conditions that strike balance between individual rights to privacy and the need to access information for combating corruption .

(iv) Strengthening the economic governance of the fisheries sectors : The focus in this area was to enhance transparency in access to fishery resources . The prior action was to disclose the list of all fishing agreements and licenses in force in past 12 months on a public website and in a national newspaper .

(v) Ensuring reliable energy availability : This aimed at ensuring reliable energy availability to vulnerable socio-economic groups. The policy area included one prior action - Government's comprehensive action plan for reorganization of the state owned public utility's (MAMWE) commercial functions.

(vi) Improving coordination of government bodies involved in natural disaster risk prevention and management: The focus was to establish a National Platform of DRM. This area included one prior action on adoption of a ministerial decree on the creation of the National Platform .

d. Comments on Project Cost, Financing, Borrower Contribution, and Dates:

The program provided US$ 4.7 million to the Government of Comoros. It was appraised in October 2012 and approved by the Board on November 29, 2012. It became effective on December 17, 2012. The credit was disbursed in full and the program was closed as scheduled on November 30, 2013. The difference between planned (US$ 5 million) and actually disbursed amount was due to exchange rate fluctuations . The program was initially planned as the second operation of a DPO series started by the predecessor operation . As a result of longer than expected program preparation a decision was made to split the two operations .

3. Relevance of Objectives & Design:

a. Relevance of Objectives:

IEG assessed the relevance of objectives as **Substantial**.

The program addresses key challenges that Comoros is facing in economic governance, focusing on state transparency and accountability. Public financial management, public sector efficiency and accountability, governance and anti-corruption, management of fisheries, reliability in energy availability and natural disaster risk management were all important areas with possible high returns from well designed reform actions . Analytical underpinnings in reform actions in these areas included the 2007 PEFA, 2012 Debt Management Performance Assessment report, the diagnostic of civil service wage bill including political economy analysis of civil service recruitment. The choice of areas for intervention was also informed by the 2011 World Development Report on Conflict and Fragility that offered relevant lessons for Comoros . The program is directly linked to at least three of six "Core Strategies" of Comoros Poverty Reduction and Growth Strategy Paper for 2010-2014. The program was an integral part of Bank's Interim Strategy Note from April 2010. The program benefited from synergies with IMF's Three-Year Arrangement third review of which was completed at the time of program preparation. Having said that, the coverage of program's objectives was quite broad, especially compared to the predecessor DPL operation that was focused only on PFM and public sector reforms .

b. Relevance of Design:

IEG assessed the relevance of design as **Substantial .**

The causal chain, reflected in the policy matrix, generally linked objectives to outcome indicators for most policy areas. The credit was prepared in parallel with such important processes as HIPC and IMF 's three-year arrangement targeting many reform areas in complementary fashion . Most of prior actions were adequate and could, under reasonable assumptions on implementation, lead to expected results . The prior actions on adoption of PFM Bill, disclosure of fishery licenses, asset declaration by civil servants, and electricity sector reforms required consensus building and had structural depth . In addition, the prior action on approval of the Bill on PFM was a follow-up action on the Bank's previous operation that had a prior action on submission of the draft Bill to the Parliament.

Despite these strengths, there were weaknesses . Some prior actions were weak: the prior actions on publication of budget and civil service information did not have institutional depth as they were ad -hoc measures without provision of a sufficient mechanism to support behavioral change . The result in the area of asset declaration (articles published to inform about legal changes) was output oriented. A better outcome, such as satisfactory submission of asset declaration could have been established instead . In addition, the choice of a stand-alone operation is not justified by the program document or the ICR, especially given the fact that a follow -up operation, Comoros Economic Governance Reform Grant, was approved by the Bank 's Board in April 2014, less than 1.5 years after approval of the program under review

On balance, this review assesses the relevance of design as substantial .

4. Achievement of Objectives (Efficacy):

Substantial

Efficacy of the overall objective -- " to strengthen state transparency and accountability " -- is assessed through the achievement of the following policy areas .

(i) Improving public financial management (partially achieved)

Under the sub-objective of enhancing budget planning it was expected that budget planning processes will improve as a result of the adoption and implementation of the Bill on Public Financial Management which was needed to address weaknesses identified in various diagnostic works . In particular, it was expected that transmission of budget circulars to Ministries, Departments and Agencies will take place at least six weeks before July 2013, compared to less than 10 days before adoption of the law that was deemed insufficient for quality budget consultations. Although this target was achieved, available information from the ICR don 't allow assessing the impact of timely distribution of circulars to budget units on overall improvement of budget preparation process. Additional information received from the task management indicates that the circulars served their purpose in preparation of the 2015 budget. However, implementation of the Bill has been slow in general, and the PFM Action Plan for 2014-17 was adopted with a substantial delay (October 2014).

For the sub-objective of budget transparency it was expected that quarterly reports that were first prepared as a prior action would become institutionalized, and quarterly budget reports will be published no later than eight weeks after the end of each quarter. The ICR reports that as of June 2014 only one, an aggregate annual report for 2013, was published. This is below expectations of publication of quarterly reports . Having said that, all annual budget execution reports of 2010-13 were available on the Government website at the time of preparation of this review.

For the sub-objective of improving government balances it was expected that as a result of an effectively functioning DGCPT (established as a prior action) at least three timely consolidated cash balance statements will be produced as of September 2013. However, the ICR reports that no consolidated budget balances had been produced by the Treasury. According to the PD of EGRG (the follow-up operation not part of this review), the DGCPT was not operational as of March 2014, and the country continued to operate with four parallel treasuries at the Union and islands levels, which undermined the capacity of the Ministry of Finance to manage and consolidate cash positions, therefore limiting its capacity to manage its cash .

On balance, this review finds that the program achieved only partial results in PFM .

(ii) Improving public sector efficiency and accounta bility (partially achieved): In this area it was expected that the disclosure of civil servant recruitment information, implemented first as a prior action, would become institutionalized, and as of September 2013 there will be six bi-monthly reports published by the Government. Actual implementation of this action following the prior action was below expectations . According to the ICR, information posted as part of prior action was no longer available as of early 2014, while information on wages for the period of January - August of 2013 was available as an annex to the 2014 law. Although a step forward, this does not provide sufficient periodicity and detail expected under the program .

(iii) Strengthening Governance and Anti -corruption Enhancing the legal framework for anti -corruption (partially achieved): Concerning anti-corruption, it was expected that the Government decree on asset declaration (a prior action) would be followed up by public campaign that would inform the public about this important anti-corruption initiative. More specifically, it was expected that there will be at least five articles in the newspapers as of mid 2013. The ICR reports about six communication campaigns in media . However, due to design issues in this area achievement of this output oriented indicator cannot be considered as a major step forward. As reported in the PD of EGRG (page iii) as of end 2013 only 30 percent of officials had submitted asset declarations. This indicates that the implementation of the decree was slow . This area became the focus of EGRG under which it is expected that the ratio of officials in compliance will reach 80 percent in 2015.

(iv) Strengthening the economic governance of the fisheries sectors (achieved): This area addressed a key policy issue since payments made by fishing companies for access of foreign vessels to national waters and resources are important for government revenues, and a systematic disclosure of licensing information is key for public sector transparency. In this policy area it was expected that following the disclosure of the list of all fishing agreements and licenses in force in past 12 months (a prior action) the Government will periodically update the information on allocated licences and their terms. This action required strong political will as some of the agreements contained confidentiality clauses, and the Government had to obtain authorization for disclosure from private sector counterparts. The ICR reports that as of January 2014 the list of all companies and the terms of contracts in cases without confidentiality clauses were posted on a Government website, which is a step forward in public sector transparency.

(v) Ensuring reliable energy availability (achieved): This policy area addressed MAMWE's short-term commercial performance issues through reducing power thefts and nonpayment to pave the way for long -term restructuring in the sector for an improved access to electricity . It was expected that as a result of implementation of the action plan for reorganization of MAMWE (adoption of which was a prior action) the collection rate will increase from 32 percent to 40 percent by September 2013. The ICR reports that as of March 2013 the collection rate achieved an impressive 58 percent. The PD for EGRG (page 19) reports 58 percent collection for the entire year. This is an important step taken forward in improving commercial performance of the state utility company.

(vi) Improving coordination of government bodies involved in natural disaster risk prevention (not achieved): In this policy area it was expected that following the establishment of the National Platform (a prior action), ad-hoc mechanisms of coordinating governance responses to disasters will be replaced by regular meetings of the national commission. More specifically, the result indicator area was that as of end -September two meetings will be held. The ICR reports that although a training workshop was organized following adoption of the decree, the Government failed to organize regular meetings as planned .

Overall macroeconomic performance : Under the program, the economy performed in line with expectations . Growth in 2013 strengthened further to 3.5 percent and inflation remained low single digit. A major milestone was achieved in December 2012 when Comoros reached the completion point under the HIPC Initiative and received broad debt relief under the HIPC Initiative and the MDRI in amount of around 20 percent of GDP. Fiscal balance, however, did not improve. Comoros remain under debt distress due to the small export base . Tax collection has been improving since 2010 (IMF, Sixth Review under the Three-Year Arrangement, December 2013).

5. Efficiency (not applicable to DPLs):

6. Outcome:

IEG's outcome rating of **moderately satisfactory** reflects the substantial relevance of the program's objectives and design, and substantial efficacy of the objective. The review highlights that important actions had been taken by the Government during program preparation and implementation across a broad spectrum of public policy areas. The program built a platform for the Bank's engagement in government accountability and transparency reforms through a subsequent policy lending operation . However, the outcome also rating reflects the fact that reforms in PFM under the program achieved only partial results . In particular, the review highlights sensitive political economy factors that slowed down Treasury reforms and prevented the program from achieving tangible results in PFM.

a. Outcome Rating : Moderately Satisfactory

7. Rationale for Risk to Development Outcome Rating:

The ICR highlights three main groups of risks – vulnerability to external shocks, risks of debt distress, and political difficulties in implementing reforms that largely due to challenging inter-island relations over the use of public resources. Protracted fragility creates challenging environment for sustaining achievements and pushing forward the reform agenda. This review also highlights structural problems in the electricity sector that have been a major burden on public resources. Continuous focus on this area through the Bank's policy lending may mitigate the risks and facilitate further reforms.

a. Risk to Development Outcome Rating : Significant

8. Assessment of Bank Performance:

a. Quality at entry:

The Bank team worked closely with the Government of Comoros to put together a program that supports Government's actions toward increasing accountability and transparency across a broad spectrum of public sector areas. The program preparation drew on analytical work, as well as on previous policy lending operations. Most of the policy actions supported by the program were relevant for the results . The program was initially expected to be the second in a DPO series initiated by the predecessor operation, but the Bank made a decision to drop the series and to proceed with this operation under review as a stand -alone operation. By same token, this operation is not linked in a programmatic series with the follow -up operation that was approved within 1.5 years of approval of the current operation. Available documents do not provide full information regarding this aspect of Bank's intervention logic.

Quality-at-Entry Rating : Moderately Satisfactory

b. Quality of supervision:

Supervision was carried out through one supervisory mission to Comoros in May 2013 for monitoring of the program and overall economic and fiscal developments. The mission was also combined with identification mission for the next operation. The supervision mission overlapped with IMF program review mission and benefited from it. Program's supervision also benefited from a supervision mission of a technical assistance project on PFM.

Quality of Supervision Rating : Moderately Satisfactory

Overall Bank Performance Rating : Moderately Satisfactory

9. Assessment of Borrower Performance:

a. Government Performance:

The Government played a role in defining the reform agenda underpinning the program and demonstrated strong political will to reform its public sector following achieving HIPC completion point in 2012 and a debt relief in amount of around 20 percent of country's GDP. Some important actions were taken, although reforms did not advance far in the reforms of the Treasury, a key area in PFM . Weak government capacity, a result of protracted fragility, is one of the main constraints for reforms, together with political difficulties between autonomous islands.

Government Performance Rating : Moderately Satisfactory

b. Implementing Agency Performance:

The ICR reports that the Government and Implementing Agencies were indistinguishable and only one rating is provided.

Implementing Agency Performance Rating : Moderately Satisfactory

Overall Borrower Performance Rating : Moderately Satisfactory

10. M&E Design, Implementation, & Utilization:

a. M&E Design:

The design of M&E was adequate. It addressed synergies with Bank's and other donors' interventions, including Bank's TA operation. The choice of results indicators was largely adequate . One of the indicators - number of articles published after the adoption of Government decree on asset declaration - is an output oriented indicator and does not fully capture expected changes as a result of enacting Government decree on transparency .

b. M&E Implementation:

The M&E arrangements placed responsibilities for collecting data on the Economic and Financial Reforms Unit, that included coordinating actions with ministries and island level authorities . The agency, however, was not able to produce quarterly updates on M&E of the program for all indicators, which was a shortcoming . Although Comoros national M&E system is weak, program's M&E benefited from Government's annual progress report of Poverty Reduction and Growth Strategy Paper.

c. M&E Utilization:

The ICR does not report any utilization of the M&E system beyond monitoring program implementation .

M&E Quality Rating : Modest

11. Other Issues

a. Safeguards:

None

b. Fiduciary Compliance:

The ICR does not report fiduciary issues.

c. Unintended Impacts (positive or negative):

None

d. Other:

12. Ratings:	ICR	IEG Review	Reason for Disagreement /Comments
Outcome:	Moderately Satisfactory	Moderately Satisfactory	
Risk to Development Outcome:	Significant	Significant	
Bank Performance :	Moderately Satisfactory	Moderately Satisfactory	.
Borrower Performance :	Moderately Satisfactory	Moderately Satisfactory	
Quality of ICR :		Satisfactory	

NOTES:
- When insufficient information is provided by the Bank for IEG to arrive at a clear rating, IEG will downgrade the relevant ratings as warranted beginning July 1, 2006.
- The "Reason for Disagreement/Comments" column could cross-reference other sections of the ICR Review, as appropriate.

13. Lessons:

This Review supports the lessons cited in the ICR, especially the need for technical assistance, and difficulties of reforms that may affect the balance of power between different factions and levels of the government. The review adds the following lessons:

- Prior actions that are of one-off character do not always become institutionalized unless a supportive framework is created. This relates to the prior actions on quarterly reporting on budget and bi-monthly reporting on civil service recruitment that were not followed up systematically. It is important that the Government decrees and other regulatory acts that Bank's programs are supporting provide clear mechanisms to make certain actions periodic and reduce risks of policy reversal.
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- Although in a fragile and weak capacity environment preparing and implementing a series tends to be difficult, the fact that the follow-up operation was put together and approved in a relatively short period of time indicates that there might be too much of risk aversion from Bank's side and, accordingly, lost opportunities in terms of possible benefits from longer-term programmatic engagements through a DPO.

14. Assessment Recommended? ○ Yes ● No

15. Comments on Quality of ICR:

The ICR provides detailed accounts and analysis on most important aspects of the program. There are shortcomings, however. The ICR does not report on the status of implementation of so called "next steps" provided in the Program that could provide more information on overall reform momentum. The ICR reports that the program supported adoption of PFM action plan but that was done before preparation of the program under review. The ICR does not report the number of officials submitting declarations. In addition, the ICR does not report collection rate in MA-MWE for all 2013.

a.Quality of ICR Rating : Satisfactory